

**Time:** 5 minutes**Outcome:** Evaluate policies affecting long-run productivity and growth.**Difficulty:**

●●○ Intermediate

Economic Growth Policy



THE CORE IDEA

Long-run growth policy raises productive capacity rather than current spending alone. Saving and reliable finance support capital formation; education builds human capital; research and competition can advance technology. Stable property rights and institutions make firms more willing to invest. Because physical capital faces diminishing returns, sustained growth usually depends on several of these channels working together.



HOW TO RECOGNIZE IT

- The policy changes capital formation, human capital, technology, or institutions.
- The question distinguishes productive capacity from a temporary demand increase.
- Reliable finance and property rights affect whether saving becomes productive investment.
- The proposed change can raise output per worker over time.

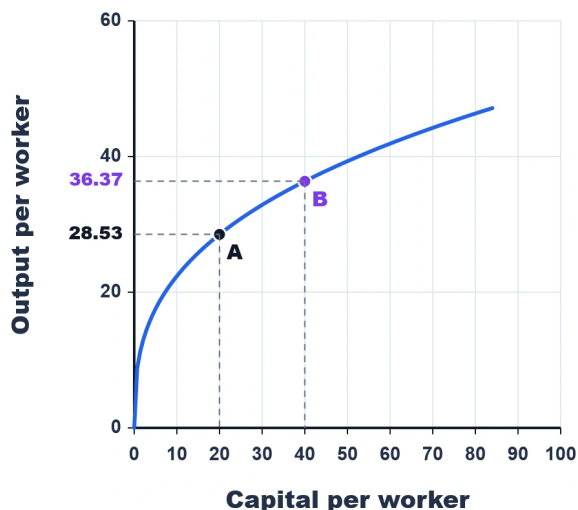


WATCH OUT

Do not treat a one-time demand boost as a substitute for policies that raise productive capacity. Long-run growth policy works through productivity, capital formation, human capital, technology, and institutions.



WORKED EXAMPLE: EVALUATING A GROWTH POLICY



Capital deepening from 20 to 40 units per worker raises output per worker from 28.53 to 36.37, a gain of 7.84. Because the curve flattens, capital accumulation alone faces diminishing returns. Sustained growth also requires human capital, technology, and institutions that raise productivity.



CHECK YOURSELF

Which policy supports long-run productivity growth?

**READY?**

Return to the game and master this concept.